

**BEFORE THE
FEDERAL MARITIME COMMISSION**

DOCKET NO. 22-17

BAKERLY, LLC

COMPLAINANT,

v.

SEAFRIGO USA INC.,

RESPONDENT.

**RESPONDENT SEAFRIGO USA INC.'S SUPPLEMENTAL
STATEMENT OF MATERIAL UNDISPUTED FACTS**

Overview

1. The detention, demurrage and per diem charges at issue primarily arose from two main categories: a) Bakerly's warehousing system which was unable to accept containers when they arrived at the port or terminal because Bakerly lacked space to accept them or because its warehouse operators could not coordinate the receipt and unloading of the containers; and b) an inability to pick up containers from a port or terminal, or to return empty containers to the port or terminal, because of nationwide congestion that plagued the ocean transportation industry in 2021 and early 2022. Declaration of Al Raffa ("Raffa Dec.") at 2.

Parties' History

2. Beginning in 2015 when Seafrigo first started providing transportation services for Bakerly, it was the established practice between Seafrigo and Bakerly that Seafrigo would

advance funds to third parties, such as terminal operators and Vessel Operating Common Carriers (VOCCs) for detention and demurrage charges and Bakerly would then reimburse Seafrigo for those charges. Raffa Dec. at 3 Seafrigo did so as an accommodation to Bakerly in order to allow for the release of Bakerly's containers and to prevent such charges from continuing to accrue. *Id.*

3. Seafrigo has invoiced Bakerly over a thousand invoices containing provisions for the payment of detention and demurrage charges. Raffa Dec. at 4; Exh 1.

Provisions of the Parties' Agreements

4. Seafrigo had Tariff Rules, bill of lading terms and conditions, and NVOCC Negotiated Rate Agreements (NRAs) which defined the parties' contractual obligations. Raffa Dec. at 5.

Tariff Rules

5. The Tariff Rules, attached as Exhibit 2, include the following:

Rule 7-17 provides that there will be an administrative fee for per diem/demurrage/detention of \$45.00 per container.

Rule 7-22 provides that after two hours of free time, there will be a charge for Detention during Regular Business Hours of \$90.00 per hour, a charge of \$150 an hour during Saturdays and Sundays and a charge of \$250 per hour during National Holidays. This charge applies when a driver has to spend unscheduled time at the destination delivery site.

Rule 7-26 provides that there is a driver layover charge of \$250 per hour. This applies when a driver has to spend an unscheduled night (layover) at the destination delivery.

Rule 7-27 provides that there is a driver labor charge of \$75 per hour. This applies when a driver is asked to assist with the unloading of the delivery.

Rule 7-32 provides that there is a yard storage fee of \$90 per day.

Rule 7-36 provides that there is a port congestion fee of a minimum of \$150 per container, and a maximum of \$300 per container.

Rule 7-37 provides that there is a per diem charge, which cost is set by the terminal or carrier.

Rule 15.1 provides that Seafrigo is a non-vessel operating common carrier and the equipment it uses to provide the transportation services at issue is provided by the vessel-operating common carrier (VOCC) that operates the vessel carrying the cargo.

Rule 15.2 provides that the VOCC imposes detention charges if empty containers released for loading and/or unloading containers released for unloading are not returned within a specified period of time (free time). “Merchant shall be liable to Carrier for any detention charges imposed on Carrier imposed by VOCC as result of Merchants failure to return containers within applicable free time.”

Rule 15.3 provides that the VOCC imposes demurrage charges if loaded containers are not removed from the marine terminal within a specified per of time (free time). The provision applies when removal of the containers from the terminal is the responsibility of the Carrier. It further provides that Merchant shall be liable to Carrier for any demurrage charges imposed on carrier by VOCC as a result of Merchant’s failure to remove containers within the applicable free time.

Rule 17.1 states that by tendering shipments to Carrier for transportation, Bakerly appoints Seafrigo as its agent for acquiring containers and chassis for such transportation and agrees to free time, as well as demurrage and detention, storage and other charges that accrue with respect to containers and chassis used for such transportation, all of which shall be for the account of the Merchant except to the extent solely attributable to actions or omissions of Carrier. (Emphasis supplied).

Rule 17.2.1 provides that any “surcharges, arbitraries, additional or other similar add on charges assessed by the VOCC carrying Merchants cargo will be paid on Merchant’s behalf by Carrier and passed through to Merchant without mark up.”

Bill of Lading Terms and Conditions

6. The Seafrigo Bills of Lading, Exhibit 3, include the following terms and conditions:

Clause 5.1. (Hindrance Clause) which specifies that while Seafrigo shall use reasonable endeavors to complete transport and to deliver the goods and the specified place of delivery, if in Seafrigo’s opinion such delivery will be hindered by any risk, delay or difficulty, Seafrigo has no duty to complete the performance of the contract.

Clause 5.1 further specifies that “[i]n any event, Seafrigo shall be entitled to full freight for any transportation and additional compensation for extra costs resulting from the hindrance.”

Clause 6.4 (Basic Liability) provides that Seafrigo does not undertake that the goods shall be delivered at any particular time and shall not be liable for any direct or indirect losses caused by any delay.

Clause 6.5 provides that Seafrigo “shall not be liable for any loss or damage arising from (a) an act or omission of Merchant or person other than Carrier acting on behalf of Merchant from which Carrier took the goods in charge.” (Emphasis supplied).

Clause 6.5(h) provides that Seafrigo shall not be liable for “any cause or events which Carrier could not avoid and the consequences of which he could not prevent by the exercise of due diligence.” (Emphasis supplied).

Clause 9.4 (Carrier’s Containers) provides that Bakerly undertakes to return containers within the time period provided for in Carrier’s applicable tariff; otherwise Bakerly shall pay Carrier for the demurrage or detention charges applicable to the containers.

Clause 16 (Delivery) provides that if goods should remain in Seafrigo’s custody after discharge from the ship, and possession is not taken by Bakerly, after notice within the time allowed in Carrier’s tariff, the goods may be deemed to have been delivered to Bakerly. It further states that Seafrigo has the option to store the goods at Bakerly’s expense.

Clause 18.3 (Freight and Charges) provides that Bakerly shall be liable for all charges levied on the goods.

Clause 18.5 provides that Bakerly, and any person acting on its behalf, shall indemnify Seafrigo against all claims, costs and other amounts which may be incurred or imposed upon Seafrigo by reason of Bakerly’s failure to comply with the terms of the bill of lading or any statutory or regulatory requirement.

NRAs

7. Seafrigo and Bakerly carefully and extensively crafted Negotiated Rate Agreements (“NRAs”) for the transportation services at issue, each of which:
 - a. expressly provides that the “Rate Proposal does not include demurrage and detention charges for which the shipper and/or consignee may be liable and port and port terminal handling charges.” *See* Exh. 4 at pp. 2, 7, 13, 18, 24, 27.

- b. includes a Standard Accessorial Tariff Provision which specifies that *per diem, detention and demurrage charges are payable at cost per terminal or carrier.*
Exh. 4 at pp. 6, 12, 17, 22.

Sample NRAs are attached as Exhibit 4.

Terms and Condition of Service

- 8. Every Seafrigo invoice include Terms and Conditions of Service which included *inter alia*:
 - a. that Seafrigo was not required to advance funds on Bakerly's behalf. 11
 - b. that Bakerly was obligated to indemnity Seafrigo for all freight charges, penalties, fees, and other monies arising from shipment of the Customer's goods.
 - c. that Customer is obligated to pay attorneys' fees incurred in defending claims. 12, 16.

A sample invoice is attached as Exhibit 5.

- 9. On page 1 of every tender is a clause referring to demurrage and per diem 3. Raffa Dec. at 6; Exhibit 6.

Exhibits

- 10. The Exhibits referenced herein were produced in discovery by the parties or records and communications kept in the ordinary course by Seafrigo. Raffa Dec. at 7.
- 11. Seafrigo prepared two spreadsheets reflecting the causes of the demurrage and detention assessed at issue. Raffa Dec. at 8; Exhibit 7A, 8A.
- 12. The second spreadsheet was formulated to include smaller invoices that had been issued to Bakerly by Seafrigo. Raffa Dec. at 9; Exhibit 8A.
- 13. Both spreadsheets were accompanied by folders showing shipping documents and communications related to the invoices issued. Raffa Dec. at 10; Exhibit 7B, 8B.

Parties Course of Conduct

14. Seafrigo invoices included, where applicable, ocean freight, bunker adjustment factor, container drayage, destination extended gate fee, truck port congestion fees, and charges associated with each. Exhibit 9.
15. It was the established course of conduct between Seafrigo and Bakerly for Seafrigo as a NVOCC to invoice Bakerly as Merchant for detention and demurrage charges related to the Bakerly goods. Raffa Dec. at 12.
16. It has not only been the established course of conduct between Seafrigo and Bakerly for Seafrigo to invoice Bakerly for detention and demurrage charges, it is the long established course of conduct between NVOCCs and shippers and consignees for decades. Raff Dec. at 13.
17. Requiring that shippers and consignees pay such charges in advance would unnecessarily slow ocean transportation and grind such transportation to a halt with containers sitting at ports and terminals for extended periods of time. Raffa Dec. at 14.
18. Pursuant to Seafrigo's Tariff Rules, bill of lading terms and conditions, the parties' NRAs, the parties' course of billing and payment, and the practice in the industry, for the Merchant, which in this case was Bakerly, to assume responsibility for demurrage and detention charges assessed against its cargo. Raffa Dec. at 15.

Bakerly Deficient Warehousing System

Lack of Warehouse Staffing Leading to Delays and Truckers' Refusal to Deliver Goods

19. Bakerly's warehousing system often was unable to accept containers when they arrived at the port or terminal because Bakerly lacked space to accept them or because its warehouse operators could not coordinate receipt of the containers. Raffa Dec. at 16. Exhibit 10. As early as December 8, 2020, the wait time to unload containers at Bakerly's warehouses had gotten so bad that Seafrigo asked to simply drop off 17 containers and pick up the empties

later because drivers were losing a day to make deliveries at the mismanaged warehouses. Raffa Dec. at 16; Exhibit 11.

20. Bakerly's inadequate warehouseers lacked the personnel to timely unload containers that had been delivered to their sites, thus causing huge amounts of detention or demurrage to accrue. The Bakerly warehouses' inability to timely accept and unload delivered containers also resulted in truckers having to spend extended hours or in some cases having to stay overnight at the facility. Raffa Dec. at 17.
21. On February 26, 2021, one of Seafrigo's truckers informed Seafrigo that after waiting more than *seven* hours, he was still waiting to deliver a container at Lineage (one of Bakerly's s warehouseers) at 9:40PM despite having an appointment to deliver the container at 2:30PM. When the driver asked the warehouse when the goods actually could be delivered, he was told by the warehouse that they had no idea. As a result of this mismanagement at the warehouse, Seafrigo instructed the driver to bring the load back to Seafrigo's yards where it accrued detention charges, awaiting rescheduled delivery. Raffa Dec. at 18; Exhibit 12.
22. Such delays caused numerous truckers to refuse to service Bakerly's warehouses. Raffa Dec. at 19.
23. On March 29, 2021, Seafrigo informed Bakerly and one of Bakerly's warehouses that any time one of Seafrigo's s drivers delivered a container for appointments scheduled after 6:30PM., they were stuck there overnight: "Naturally, the more this happens, the drivers are not going to go to the warehouse's location." Seafrigo further observed that it would need answers regarding these delays in light of major pushback it was receiving from diligent drivers it has worked with for years. Raffa Dec. 20; Exhibit 13.

24. In response, Bakerly informed its warehouser that it needed to address the email, noting, the situation was “strongly impacting [Bakerly’s] drayage costs, additionally we need our 5 inbounds per day. We cannot lose drivers or continue paying detention + Layover fees.” Exhibit 13.
25. On top of the previous delays, on March 1, 2022, Bakerly’s warehouse informed Bakerly that it lacked the capacity to pick up a container. Exhibit 14.
26. Despite the incredibly difficult circumstances, and the abysmal warehouse performance by Bakerly, not a single container was not delivered by Seafrigo. Raffa Dec. at 157.

Aborted Drop and Pick

27. On April 14, 2021, Seafrigo wrote to Bakerly regarding previous conversations on implementing a drop and pick program. The drop and pick program involved not having the driver wait for the warehouse to unload the container and then having the driver return the empty to the terminal but instead having the driver pick up another empty container at the warehouse. Seafrigo noted that it had allowed two weeks for Bakerly’s warehouse to rectify its inability to timely accept and return containers, but the warehouse had failed to do so: “[O]ur drivers are still not happy and they are all threatening not to go back there.” Exh. 15. Seafrigo continued that while there had not been as many “layovers” (overnight stays by truckers at warehouses) but truckers had waits of “8-10 hours.” *Id.*
28. In an email also on April 14, 2021, Bakerly stated that it had discussed the delays with its warehouser who admitted that the major factor causing the delays was its inadequate staffing. Exhibit 15.
29. Seafrigo responded to Bakerly that its truckers were running out of patience and as a result that drop and pick program was implemented. Exhibit 15.

30. The following day, Seafrigo reported that one of its good truckers had rejected all future loads to the Bakerly warehouse: “We just lost 25% of our truck capacity.” Exhibit 15.
31. Although Seafrigo agreed to implement the drop and pick program, it agreed to begin the program the following week given the existing backlog of containers scheduled for delivery at Bakerly’s warehouses, whose skeleton personnel Seafrigo did not want to confuse. Exhibit 15.
32. On April 16, 2021, Bakerly’s warehouser (Lineage) itself recognized the need to adopt the drop and pick program. Lineage wrote that Bakerly would like to have the program start as soon as possible. Exhibit 16.
33. In response to its warehouse’s e-mail, Bakerly stated that it would be crucial to have the flow of containers moving, ensuring they timely enter and leave so the empties could be picked up and the pallets go to inventory. Bakerly’s concern was driven by the current delays in operations at its warehouses. Exhibit 16.
34. The proposed drop and pick system was finally implemented in May of 2021. Unfortunately, due to continued negligence on the part of Bakerly’s warehouse, it proved to be a disaster. Raffa Dec. at 27.
35. On May 6, 2021, Bakerly’s concerns were already coming to fruition. Bakerly informed its warehouser that there were delays in the return of empty containers: “We have containers that have been discharges on Monday and still not returned.” Exhibit 16. Acknowledging that Seafrigo had already brought the issue to the warehouse’s attention, Bakerly asserted that: We need those containers turning in & out in 24h as agreed.” *Id.*
36. On May 18, 2021 Seafrigo reminded Bakerly’s warehouse that within 24 hours of a container drop it was supposed send notice that the container had been unloaded and was

- ready to be picked up. Seafrigo asked for a list of the containers ready for pickup, to which Bakerly's warehouse failed to respond. Exhibit 17.
37. Two days later, on May 20, 2021¹¹ Seafrigo again asked the warehouse what containers were ready for pick up, to which Bakerly's warehouse failed to respond. Exhibit 18.
 38. The following day, on May 21, 2021, Seafrigo asked the warehouse for a list of the containers that had not been unloaded, to which Bakerly's warehouse failed to respond. Exhibit 18.
 39. Three days later, on May 24, 2021, almost a week after Seafrigo initially asked the warehouse for the list of the containers ready for pickup, Seafrigo asked whether 12 specific containers had been unloaded and were ready for pickup. Exhibit 18
 40. At that point Bakerly intervened asking the warehouser what was happening with the containers. Bakerly stated: "Please note that there are containers pending for unloading since 5/18. Your delays are causing us per diem charges." Exhibit 18.
 41. Later that day, the warehouse reported that it had emptied just five of the 12 containers that had been in its possession since May 18, 2021. The warehouse blamed its nonperformance on being short-staffed. Exhibit 18.
 42. After Bakerly resumed its silence, on May 26, 2021, Seafrigo asked Bakerly's warehouser whether any additional containers had been emptied because it had received no such notice. At that point, Bakerly's warehouse said that it still had failed to empty one of the 12 containers. Exhibit 18.
 43. The following day, on May 27, 2021, the warehouse manager asked the warehouse supervisor for a list of Bakerly's empty containers on site. The warehouse supervisor responded that there were three empty containers at the warehouse. Exhibit 18.

44. In a meeting between Seafrigo and Bakerly in May of 2021, the parties discussed Bakerly's lack of warehouse space. Raffa Dec. at 28.
45. In a follow up email dated May 27, 2021, Bakerly wrote affirming that while it hoped to increase its space in later 2021 or early 2022, it currently had no additional space.
46. Five days later, on June 1, 2021, Bakerly's warehouse's supervisor reported that there was only one empty container on site, and seven full containers. Exhibit 18.
47. A little more than a week later, on June 9, 2021, there were six empty containers and 8 full containers on site, Exhibit 18.
48. On May 24, 2021, Bakerly wrote to its warehouse requesting an estimated date when a truck would be loaded for transfer and noting that it appeared the truck had not been loaded. Exhibit 20. Bakerly's warehouse responded that it would start doing so when it was caught up on the LFM loads. *Id.*
49. Following a series of communications, Bakerly asked where the truck was, noting that there was an unloading appointment at 7AM in Easton, Pennsylvania. Bakerly also asked whether another truck had been loaded. Exhibit 20.
50. On May 25, 2021, Bakerly wrote to its warehouse asking what was happening with its deliveries. Exhibit 20. It noted that Bakerly needed a truck in Easton since 6:30AM and that it had drivers in its yard waiting for the product. *Id.*
51. Later that same day, May 25, 2021, Bakerly wrote to its warehouse stating that it could not even list all the delays. Exhibit 20.

Outbound orders: Customers are yelling on all Memorial Orders still not received because still not loaded! We are talking days now.

Inbounds: 11 containers stuck on drop trailer program still not ready to pick up. And now the transfers to our plant have still not been delivered : we are out of stock for orders this week.

Transfers from plant are to Lineage are taking 1 week to be received. . . .

Sorry but ... what a mess!

We have discussed other facilities during our visit but we still have our inventory at Allentown – we cannot drop the ball and impact so much our customers during our peak season!

Exhibit 20.

52. Bakerly's warehouse responded informing Bakerly that its site continued to be severely impacted by labor and volume. "We are doing everything possible to schedule and accommodate customers needs and unfortunately are behind across multiple segments."

Exhibit 20.

53. On June 9, 2021, Judith Quintero of Bakerly informed Seafrigo that effective immediately "Our partnership with Lineage PA has been terminated. Please stop delivering our containers at that facility immediately. By the end of the week we will be confirming how [to] distribute our containers between Seafrigo Cold Storage, Bakerly Barn and Preferred Freezer Linden." Exhibit 21.

54. In terminating its relationship with Lineage PA without advance notice, Bakerly left stranded numerous containers that were either sitting at the terminal (accruing demurrage) or already in Seafrigo's possession ready for delivery (and thus incurring detention). Raffa Dec. at 29.

This was done during a period when a large number of Bakerly containers were being shipped to the United States for delivery. Raffa Dec. at 30. It also coincided with a huge influx of imports that was taxing the ocean transportation system. *Id.*

55. Given that Lineage was a major warehouser for Bakerly, and that Bakerly itself had acknowledged just a few weeks earlier that it lacked warehouse space, this caused great disruption in the Bakerly supply chain. Raffa Dec. at 31.
56. On June 10, 2021, Seafrigo informed Bakerly that its trucking company had been at the warehouse for over 3 hours and being told it had no appointment. The trucker was instructed to bring back the full container (even though there were empties that needed to be picked and likely would incur per diem) if Bakerly's warehouse did not rectify the problem within 15 minutes. Exhibit 22.
57. Bakerly responded that Seafrigo had been told to stop delivering except for a limited number of authorized containers. Exhibit 22.
58. Seafrigo replied that Bakerly had sent out a message to Seafrigo only the previous day regarding the termination of its partnership with Lineage, and Seafrigo had immediately passed on that information. Exhibit 22.
59. Two hours later, another Bakerly employee instructed Seafrigo that Seafrigo still needed to deliver some containers to the warehouse in question. Exhibit 22.
60. Bakerly apologized for its miscommunication and its failure to timely call Seafrigo to explain what was happening. Exhibit 22. In that e-mail, Bakerly admitted that the communication regarding ceasing delivery "was too fast," but that Bakerly could not get any loads from the warehouse in question to its customers in the middle of the peak season so it could not continue its partnership. Bakerly then cryptically explained that it needed to keep some containers at that warehouse. *Id.* That was the same warehouse that Bakerly previously had informed Seafrigo that it should stop delivering to immediately. Raffa Dec. at 32.

61. At this juncture it was apparent that Bakerly had lost control of its warehousing system. Raffa Dec. at 33. On June 14, 2021, Seafrigo e-mailed Bakerly explaining it could not store any more containers at Seafrigo's facilities because Bakerly had used up all of Seafrigo's yard plugs (electrical outlets used to power refrigerated containers). Seafrigo explained that due to the number of containers it was now holding, it could only hold a container for one day prior to appointment for delivery. Exhibit 23.
62. On June 14, 2021, the parties recognized by e-mail that the drop and pick program was a "total failure to say the least" and that that Seafrigo would no longer be dropping containers with Bakerly's warehouse Lineage. Exhibit 24.
63. In addition to leading to additional containers not being unloaded and thus further backlogging at the Bakerly warehouses, truckers were forced to drive to other facilities to pick up empty containers. Raffa Dec. at 34. This further taxed Seafrigo's driver resource pool which was already strained due to the nationwide trucker shortage. Id.
64. On June 21, 2021, Seafrigo again was forced to ask whether four empty containers were at Bakerly's warehouse because Seafrigo had received no report on them. Exhibit 25.
65. On June 22, 2021, Seafrigo e-mailed Bakerly reflecting a voicemail message it had left with Angela Viera of Bakerly:

With all the moves Bakerly has made we obviously are well above the 750 pallet count. We are just under 1,000 pallets right now and we still have 5 containers that were rerouted yet to be unloaded. Last week I instructed Kizzy and Al [Seafrigo employees] not to pick up at the pier anything else that was rerouted to our facility. We currently do not have space in the yard plus the capacity to unload. We will take care of the 5 containers that are currently here, but we need to have a discussion about the plan to get the pallet count back to the agreed upon count. This is going to hinder the operation and we do not [w]ant to see your customers or others impacted. Please advise.

Exhibit 26.

66. On June 30, 2021, Seafrigo asked Bakerly's warehouse for an appointment for a container with a last free day of July 1. After additional inquiries, Seafrigo requested a live unload appointment for July 2nd at 6AM. At 8:17AM, Seafrigo conveyed the message to Bakerly's warehouser that the trucker needed to be out of the warehouse by noon. Exhibit 27.
67. Later that morning, Bakerly's warehouse informed Seafrigo that the delivery was scheduled as a drop rather than as a live delivery. Bakerly then informed its warehouser that they were not using the drop and pick program anymore. Exhibit 27. Apparently the warehouse was not previously informed by Bakerly that they were no longer using the drop and pick program. Raffa Dec. at 35.
68. Although Bakerly's warehouse had scheduled the aforementioned delivery for 6AM, Bakerly's warehouser failed to timely accept the load. By 11:00AM Bakerly's warehouse said it could not promise the driver would be out by noon, blaming it on the holiday weekend and stating that they were busy. Exhibit 27.
69. On July 7, 2021, Bakerly informed Seafrigo that it had found a new warehouser called Honor Foods. Exhibit 28. At that time, Bakerly told Seafrigo that because it was in the middle of a transition, it would be sending Seafrigo a list of containers that should be delivered to a new address. *Id.*
70. For its part, Honor Foods would be coordinating the massive delivery. Exhibit 28.
71. When Bakerly sought to have the rerouted goods delivered *the next day*, Seafrigo informed Bakerly that given the short notice on the rerouting of goods already assigned to truckers for delivery into Linden and JS., the rerouting Philadelphia could not start within 24 hours. Exhibit 28. Seafrigo informed Bakerly that it was still vetting truckers that could live/unload into Philadelphia and that it would try to do so by the following week. *Id.*

Seafrigo additionally notified Bakerly that amid an industry-wide, massive trucker shortage, truckers were booked 2-3 weeks out. *Id.*

72. On July 9, 2021, Seafrigo asked one of Bakerly's Linden warehouses for appointments to deliver seven containers that were at the port. Exhibit 10. Seafrigo was informed that the drop or live unload would be unavailable until July 15, after expiration of free time. *Id.*
73. On July 12, 2021, a month after Bakerly's email notifying without explanation or warning that Bakerly had terminated its relationship with its warehouser, Bakerly sent another e-mail to Seafrigo stating,

...we regret to inform you that we must limit your inbounds due to complications and internal decisions. Starting now 7/13 only drop 2 containers until further notice. Inform your carriers do not request more allocation. In case they do, they will receive a resounding NO by Bakerly or Linden Team. We have priorities with our production.

*We are aware of the additional costs of demurrage, storage, or detention that this decision implies but we do not have a choice. Please inform your carrier and avoid any Keep in mind that of **all confirmed appointments, only 2 have been left active.** (Emphasis in original).*

Seafrigo responded the next day, noting that the issue sounded serious and requesting Bakerly discuss the matter. Seafrigo additionally noted that with regard to demurrage, Seafrigo was going to run into a financing issue; given that Seafrigo did not have credit terms with Bakerly, its payments would be out-of-pocket, which also needed to be discussed. Exhibit 10.

74. Seafrigo additionally recognized that Seafrigo would need to consider limiting the volume of its bookings with Bakerly until Bakerly rectified its warehouse deficiencies or more clearly articulated a solution thereto. Exhibit 10. It also recognized that Seafrigo could not continue to stockpile containers in the US without a home for them. *Id.*

75. As a result of Bakerly's decision to limit acceptance of containers to only two per day, the number of Bakerly containers at the ports and terminals accumulating demurrage accelerated greatly. Raffa Dec. at 36. The problem was worsened because Bakerly had no plan to address the problem. *Id.*
76. In internal communication on July 13, 2021, Seafrigo contemplated that it would have to stop the supplier's delivery to the Seafrigo warehouse as Seafrigo's facilities were already full. Exhibit 10 at 5-6.
77. For its part, Bakerly simply ignored email communications and phone calls seeking to address the issue. *See* Exhibit 10.
78. On July 21, 2021, Seafrigo noted in an internal e-mail that it had previously issued a warning to Bakerly given the fact that Bakerly's failure to pay outstanding invoices was crippling Seafrigo's credit line. Exhibit 10. That e-mail further observed that: "Containers are piling up in port of NY/NJ faster than can be rerouted to a warehouse with availability." Finally, it noted that "Bakerly management is MIA [missing in action] nobody returning my phone calls. We cannot continue this way!" *Id.*
79. Bakerly's decision to limit the number of containers to two per day was during a period when it was importing well over a hundred containers per month. Raffa Dec. at 37.
80. On July 27, 2021, Seafrigo wrote to Bakerly's warehouse noting that although three containers had been scheduled for July 22nd and July 23rd pickup, Seafrigo needed confirmation that the containers were still in the warehouse's possession given that the warehouse had not notified Seafrigo as to whether the containers had been emptied. Exhibit 29. In response, the warehouse answered that one of the containers had been

emptied. The trucker was unable to find one other supposedly empty containers at the warehouse on the following day. *Id.*

81. In January of 2022, after Bakerly inexplicably had rehired Lineage despite Lineage's myriad shortcomings, it was Lineage that admitted that it could not handle the volume of Bakerly containers and that 81 of its employees were absent from work. Raffa Dec. at 38.

Bakerly's Exacerbation of Dire Port Congestion

82. The timely pickup of full Bakerly containers at terminals and the return of empty Bakerly containers was substantially hindered by nationwide record port congestion that plagued the industry and terminals during the relevant time period. Raffa Dec. at 39. The ability of Seafrigo to timely provide the services at issue was also hindered, and in many cases rendered impossible, by Bakerly's inadequate warehouse space and facilities which were unable to accept delivery of full containers thus resulting in the accumulation of significant amounts of demurrage. *Id.*
83. DWELL time is the amount of time a container remains dormant at a terminal or port. Raffa Dec. at 40. Despite the obstacles faced by Seafrigo, Seafrigo's DWELL time for containers it was transporting during the time period at issue was below the national average. *Id.*
84. On September 23, 2021, Seafrigo wrote to Bakerly and its warehouses stating that Seafrigo needed to rework its schedule due to port congestion and a fire that had occurred near terminals causing their early closure. Exhibit 30. Seafrigo asked for any way Bakerly's warehouse could increase the amount of loads it could receive and extend the time for delivery of containers. *Id.* Due to Bakerly's warehouse's exceedingly early 2PM cutoff for deliveries, drivers were forced to return to the Seafrigo yard rather than deliver to the warehouse upon picking up containers. *Id.* Seafrigo additionally notified Bakerly that there

were 34 loads arriving over the weekend, which would have to be scheduled once they became available. *Id.*

85. The following day, Seafrigo forwarded a revised schedule and inquired whether there was any way the warehouse could take more than three loads per day or move the 2PM delivery cutoff. Exhibit 30. Seafrigo noted that the majority of the loads were incurring demurrage charges and reiterated that more were arriving over the weekend which would extend the backlog. *Id.*
86. On September 30, 2021, Seafrigo wrote to Bakerly's warehouser seeking to set up a delivery appointment for a Bakerly container. Exhibit 31. After Bakerly's warehouse failed to respond, Seafrigo followed up again. *Id.* On October 4, Seafrigo reminded Bakerly's warehouser that the last free day for the container would be the follow day. *Id.* At that point, Seafrigo was informed that the container was still on Customs hold. *Id.*
87. On October 13, 2021, delivery was delayed a day because MSC did not have gensets available at Port Newark Container Terminal ("PNCT"). Exhibit 32. Further, the loads in question would incur a \$175 void out fee because the drivers now had to exit PNCT to drop their chassis at Seafrigo's yard and then go back to up chassis with gen sets before dropping a load. *Id.*
88. Seafrigo wrote on October 18, 2021, that there were four containers with last free days the following day, noting that it was at full capacity and was not sure when it would be able to deliver to Philadelphia. Exhibit 33.
89. Seafrigo followed up seeking to confirm that it could deliver containers that day. Exhibit 33. Seafrigo also sought to confirm that Bakerly's warehouse would prevent Seafrigo's

truckers from delivering after 2PM, because the extreme port congestion might make delivery prior to that time impossible. *Id.*

90. Bakerly's warehouse wrote that it was getting oversaturated with containers in Jersey City, and had 18 containers waiting to unload or waiting for delivery:

Melissa [of Seafrigo] is requesting to drop another 5 containers today which would make it 23 containers. With the 15 TL transfers beginning for croissants and braided, I think having 23 containers in the yard is going to create significant unloading backlogs and per diem charges on your containers. Realistically, we only have space to unload 2-3 containers or TLs per day (and that's if freight is turning quickly, which the Twin Pack will not be.)

Exhibit 33.

91. On October 18, 2021, a Bakerly employee wrote regarding a need to set an x-docking operation with 6 containers listed. Exhibit 33. One truck per day it is impossible to get MNV stock available by 10/28. *Id.*
92. On October 22, 2021, Bakerly informed Seafrigo that it should not deliver more containers to its Jersey City warehouse until further notice. Exhibit 34. It notified Seafrigo that if Seafrigo intended to deliver containers there such containers would not be accepted. Bakerly then instructed that containers should instead be diverted to another warehouse in Philadelphia rather than to New Jersey. *Id.*
93. Jersey City is 91 miles from Philadelphia. Raffa Dec. at 41. Truckers on tight timelines and governed by Department of Transportation (DOT) time constraints cannot immediately reschedule deliveries 90 miles apart. *Id.*
94. Seafrigo informed Bakerly that it had already completed its dispatch for the day when Bakerly issued its last-minute notice of diversion. Exhibit 34. Seafrigo also informed Bakerly that it could not commit too many loads to deliver loads to Philadelphia and would have to try to figure out how to handle Bakerly's sudden instruction that Jersey City not

receive any more loads. *Id.* Bakerly then asked for the status of four different containers that had been scheduled for delivery to Jersey City. *Id.*

95. On October 11, 2021, Seafrigo wrote seeking permission to drop off six containers, noting that another nine loads needed to be in Jersey City and that the containers had last free days of October 12th and 13th. Exhibit 36. Additionally, Seafrigo asked whether there was any room to increase the number of deliveries per day. *Id.*
96. On November 12, 2021, a container that was ready to be picked up nonetheless sat at the terminal with no genset available. Exhibit 37.
97. Four days later, on November 16, 2021, Bakery's warehouse reported that the container could be delivered because it was scheduled for a plug-in at its warehouse. Exhibit 38. However, Bakerly's warehouse stated the trucker would have to pay \$300 before the warehouse would accept delivery. *Id.*
98. On November 18, 2021, a trucker was unable to deliver a container to Bakerly's warehouse due to port congestion. Exhibit 38.
99. On December 10, 2021, Bakerly informed Seafrigo that 27 and 17 containers would be arriving on vessels between December 19th and 21st. Exhibit 39.
100. On January 5, 2022, Bakerly asked its warehouse to accept numerous containers for delivery the next day. Exhibit 40.
101. Bakerly's warehouse responded that the earliest it could accept the containers for delivery would be five days later, on January 10th. Exhibit 40. Frank Palaia, sales manager with Bakerly's warehouse confessed it had 41 team members out with COVID or waiting on test results, and another 40 employees that had called in sick. As a result, Bakerly's

warehouse said it would be lucky to stay on target with even its current volume of containers:

...currently have 41 team members out with Covid or waiting on test results. We have another 40 that used our automated line to call out sick . . . With this [sic] mind, we will be lucky to stay on target with your current volume. Cite to e-mail.

Id.

102. Seafrigo noted to Bakerly and its warehouser that this had not been the first complaint from several truckers that Seafrigo was using. Exhibit 12. Seafrigo further informed Bakerly and the warehouse that it could not tolerate such poor service as it was “losing truckers left and right.” *Id.*
103. On January 25, 2022, Seafrigo e-mailed Bakerly explaining that overall unreliability of shipping lines’ schedules, port congestion across North America running at over 100 percent capacity, and a lack of available gensets was making it difficult for port operators to retrieve containers.
104. Bakerly’s warehouse notified customers that due to congestion at the Port of Houston and unavailability of both chassis and gensets, it was running behind by one to three days from the last free day to its pickup date. Exhibit 41. Bakerly’s warehouser reported that when a customer’s container was released, it would be added to the schedule, and would notify customers 48 hours prior to pick up so that the charges could be paid, and the goods cleared. *Id.* That notice stated that Bakerly’s warehouser would not be responsible for demurrage or per diem charges. *Id.*
105. On February 2, 2022, Bakerly blamed Seafrigo for per diem incurred when a container was delivered at Bakerly’s warehouser’s facility, which warehouser left the container unloaded for a significant period causing it to accrue such per diem. Exhibit 42.

Government Holds

106. Customs and Border Patrol (“CBP”) reserves the right to inspect goods and hold containers for a variety of reasons. Raffa Dec. at 43.
107. The Food and Drug Administration also inspects food products to ensure they are not adulterated. Raffa Dec. at 44.
108. On January 18, 2022 containers were on Customs hold. Exhibit 43.
109. On February 2, 2022, 13 containers sat on Customs hold at the Port of Houston because they contained food products. Exhibit 44. Seafrigo explained to Bakerly that Customs holds are out of Seafrigo’s control, and that demurrage would accrue if Customs did not timely release the containers. *Id.*
110. On February 4, 2022, Seafrigo made diligent efforts to get the Customs holds released, contacting CBP officials. Exhibit 45. Inexplicably, Bakerly asserts Seafrigo should somehow have prevented the Customs hold 10 days before the vessel arrived even though Customs entries are not filed until five days prior to a vessel’s arrival per Customs regulations. Raffa Dec. at 45.
111. Seafrigo again explained that containers were placed on a U.S. Department of Agriculture hold, over which Seafrigo had no control. Exhibit 44.
112. On February 8, 2022, Seafrigo informed Bakerly that Seafrigo had not been late in conveying notice of the Customs hold. Exhibit 44. Instead, Seafrigo had notified Bakerly exactly when USDA had provided information to Seafrigo regarding what information the USDA was seeking regarding the shipments. *Id.*

Bakerly’s Responsibility for Detention and Demurrage Charges

113. Pursuant to Seafrigo’s Tariff Rules, bill of lading terms and conditions, the (NRAs) between Seafrigo and Bakerly, the parties’ course of billing and payment, and the practice

in the industry, Bakerly was responsible for demurrage and detention charges assessed by third parties that were its fault. Raffa Dec. at 49.

114. Pursuant to Seafrigo's Tariff Rules, bill of lading terms and conditions, the NRAs between Seafrigo and Bakerly, the parties' course of billing and payment, and the practice in the industry, Seafrigo was not responsible for detention and demurrage charges except to the extent solely attributable to the acts or omissions of Seafrigo. *See* Raffa Dec. at 15, 144; *see also* Exhibits 2, 3, 4, and 9.
115. Pursuant to Seafrigo's Tariff Rules, bill of lading terms and conditions, the (NRAs) between Seafrigo and Bakerly, the parties' course of billing and payment, and the practice in the industry, Seafrigo was not responsible for detention and demurrage charges that could not have been avoided and the consequences of which Seafrigo could not prevent by the exercise of due diligence. *See* Raffa Dec. at 15, 144; *see also* Exhibits 2, 3, 4, and 9.

Snowstorms and Port Closures

116. On December 5, 2022, in the course of this litigation Bakerly agreed that it would not dispute Seafrigo's right to be reimbursed for charges resulting from terminal closures caused by snowstorms in December of 2020 and January of 2021. Exhibit 45. Detention and demurrage charges assessed due to port closures as a result of snowstorms were not caused by Seafrigo and Seafrigo could not prevent them by the exercise of due diligence. Raffa Dec. at 51.
117. The amount in dispute related to terminal closures is \$361,178.54. Raffa Dec. at 52.

Government Holds

118. The goods being imported by Bakerly were frozen food goods. Raffa Dec. at 46. CBP reserves the right to inspect goods and hold containers for a variety of reasons. *Id.* The Food and Drug Administration also inspects food products to ensure they are not

adulterated. *Id.* The charges associated with such delays are not caused by Seafrigo and not its responsibility. *Id.*

119. Detention and demurrage charges assessed due to government holds were not caused by Seafrigo and Seafrigo could not prevent them by the exercise of due diligence. Raffa Dec. at 47.
120. Seafrigo paid MTOs and VOCCs \$68,745.59 as a result of government holds. Raffa Dec. at 48.

Port Congestion

121. Huge volumes of goods being shipped, erratic shipping line deliveries, and a resultant inability of carriers and terminals to handle such volumes, compounded by the COVID pandemic, led to the imposition of record amounts of detention and demurrage charges in 2020 through 2022. Raffa Dec. at 56. At the terminal or port level, this frequently resulted in containers being stacked in a disorganized, haphazard fashion which prevented their pickup. *Id.* As a result, through no fault of Seafrigo, such containers sat at terminals accumulating demurrage charges. *Id.*
122. Detention and demurrage charges assessed due to port congestion were not caused by Seafrigo and Seafrigo could not prevent them by the exercise of due diligence. Raffa Dec. at 57.
123. The amount of the charges Seafrigo paid to VOCCs and MTOs as result of port congestion was \$472,672.71 -. Raffa Dec. at 58.
124. Contemporaneous media reported dire port congestion throughout the period at issue. *See, e.g.,* “US port congestion solutions bump into third rail of labor,” Journal of Commerce, April 13, 2021 https://www.joc.com/article/us-port-congestion-solutions-bump-third-rail-labor_20210413.html Exhibit 46; “‘Like a freeway in traffic’: America’s busiest ports

choked by a pandemic holiday” The Guardian, December 21, 2021 <https://www.theguardian.com/business/2021/dec/21/inside-americas-busiest-port-during-holidays> Exhibit 46; “Cargo Waiting Outside Ports In 2021 Racked Up Millions In Interest Due To Port Congestion,” Marine Insight, January 11, 2022 <https://www.marineinsight.com/shipping-news/cargo-waiting-outside-ports-in-2021-racked-up-millions-in-interest-due-to-port-congestion/> Exhibit 46; “America’s biggest ports handled a record 50.5 million shipping containers last year,” Market Watch, February 23, 2022 <https://www.marketwatch.com/story/americas-biggest-ports-handled-a-record-50-5-million-shipping-containers-last-year-11645539342> Exhibit 46.

Chassis or Genset Shortages

125. When truckers arrive at a terminal, the terminal assigns a chassis for the container on which the container should be loaded. Raffa Dec. at 59. If the goods being transported are frozen goods, the terminal also assigns a genset to keep such goods frozen. Id. During the transportation crisis that plagued the nation in 2020 through 2022, terminals frequently were short of chassis or gensets. Id. – As a result, containers would not be made available for delivery. Id.
126. For containers for which gensets were not available, Seafrigo drivers offered to pick up containers provided that the Bakerly warehouse would provide a plug for keeping the container frozen. Raffa Dec. at 60. In some instances, the warehouses were willing to do so. In other instances, the Bakerly warehouses were not. Id.
127. Detention and demurrage charges assessed due to lack of chassis and gensets were not caused by Seafrigo and Seafrigo could not prevent them by the exercise of due diligence. Raffa Dec. at 61.

128. The amount of the charges Seafrigo paid to MTOs and VOCCs as result of chassis of genset shortages was \$1,901.40 Raffa Dec. at 62.

Trucker Shortages

129. A shortage of truckers plagued the nation in in 2020 through 2022. Raffa Dec. at 63. This was an unavoidable and unforeseen event beyond Seafrigo's control. *Id.* Contemporaneous media reporting of that shortage includes: "How will the US deal with a shortage of 80,000 truckers?" BBC News. <https://www.bbc.com/news/business-59136957>; "Truck Drivers and Container Chassis: The Peak Season Shortages to Expect" SupplyChainBrain, <https://www.supplychainbrain.com/blogs/1-think-tank/post/33275-peak-season-is-around-the-corner-what-can-we-expect-in-2021>. Exhibit 47. In some instances, this prevented containers from being timely picked up or returned to ports or terminals. Raffa Dec. at 63. Mismanagement at Bakerly warehouses exacerbated this problem with truckers refusing to deliver to the warehouse because they often were forced to spend lengthy days and nights waiting for containers to be unloaded. *Id.*
130. Detention and demurrage charges assessed due to a lack of truckers were not caused by Seafrigo and Seafrigo could not prevent them by the exercise of due diligence. Raffa Dec. at 64.
131. The amount of the charges Seafrigo paid to MTOs and VOCCs as result of a nationwide shortage of truckers was \$177,574.50. *See* Raffa Dec. at 64.

Seafrigo's Invoicing, Negotiations with Carriers, and Bakerly's Assurances it Would Pay

132. Seafrigo is not seeking recovery for any charges incurred due to Seafrigo's fault. Raffa Dec. at 66.
133. All of the invoices at issue are attached in the Seafrigo Appendix. Raffa Dec. at 67.

134. Correspondence related to specific invoices are identified in folders along with the invoices Raffa Dec. at 68.
135. Throughout Seafrigo's business relationship with Bakerly, Seafrigo's accounting department sent to Bakerly's accounting team weekly statements noting what balance was due Seafrigo from Bakerly. Raffa Dec. at 69. Thus, Bakerly had ample opportunity to inquire about any invoices supposedly not received. *Id.*
136. During the period in question, a significant number of Bakerly's accounting staff left the company or had only recently joined Bakerly. Raffa Dec. at 70.
137. Individual invoices were being sent on a per transaction basis. Thus, Bakerly was fully aware that such charges were owed. Raffa Dec. at 71.
138. The calculations of the cause of the detention and demurrage reflect a review of the data and a careful analysis of the reason for the detention and demurrage charges accrued. Raffa Dec. at 72. The charges were attributed to categories based upon the shipping records or by contemporaneous communications regarding the shipments. *Id.* For example, if a container arrived at a terminal on X date and the Bakerly warehouse failed to schedule it for delivery until 10 days later, Seafrigo properly assessed the resulting demurrage as caused by Bakerly. Further, Seafrigo provided documents in discovery properly labeled in folders along with supporting documents reflecting what amounts Seafrigo paid, email conversations related to same, and copies of its invoices sent to Bakerly. *Id.*
139. Based upon its careful analysis, Seafrigo determined that it was at fault for \$159,849.08 of the detention and demurrage charges at issue. Raffa Dec. at 166. This amount was based upon instances where Seafrigo failed to timely schedule the pickup or return of containers. *Id.*

140. Seafrigo provided accurate invoices and backup documents supporting its invoices. *See* Raffa Dec. at 83.
141. Bakerly was provided with information regarding the detention and demurrage charges at issue. Raffa Dec. at 193. Further, Seafrigo communicated with the Bakerly team on all deliveries through email and via a daily report that was automatically being sent to various Bakerly team members. *Id.*
142. If containers sit on a terminal or at a warehouse for an extended period of time, more than one invoice for that container may be issued. Raffa Dec. at 74. That simply reflects the billing practice of the underlying carrier or terminal. *Id.*
143. In some instances Seafrigo had to re-send invoices to Bakerly because apparently Bakerly lost track (or claimed to have lost track) of invoices that had previously been issued. Raffa Dec. at 75.
144. On the day before Christmas in 2021, Mr. Caron, the CEO of Bakerly contacted Jérôme Lorrain, the CEO of Seafrigo and asked that held containers be released. Declaration of Jérôme Lorrain (Lorrain Dec.) at 8. At that time, Seafrigo USA had insufficient funds (due to Bakerly not having paid its invoices) to obtain their release. *Id.* at 9. Nonetheless, in a gesture of goodwill, Seafrigo made extraordinary efforts to raise the necessary funds to pay the terminals and obtain the release of the containers so as to allow Bakerly to continue its operations. *Id.*
145. Bakerly's statement that it is only liable for \$198,551.87 of the charges at issue sue greatly underestimates the charges resulting from the fact that its warehouses were grossly understaffed and unable to accept or unload containers. Bakerly apparently failed to

account for the fact that at one point it reported that it terminated its relationship with Lineage, a primary warehouser. Raffa Dec. at 167.

146. The invoices assessed by Seafrigo are not duplicative. A VOCC might issue a demurrage invoice with the expectation that a Bakerly warehouse would schedule an appointment for delivery of the container by a specific date, and, if Bakerly's warehouse failed to schedule the delivery as expected, additional demurrage would accrue. Raffa Dec. at 77. Seafrigo then would pay that amount to obtain the release of the container and would have to issue an updated invoice to Bakerly reflecting the additional charge. *Id.*
147. Bakerly apparently understands such charges were not duplicative because even in its Opening Brief it characterizes the invoices as "partial amounts of the total demurrage" which reflect additional demurrage or detention charges that accrued and were invoiced after an initial invoice had been issued. Raffa Dec. at 78.
148. Bakerly asked Seafrigo to analyze what Bakerly referred to as a number of "duplicative invoices." Raffa Dec. at 79. Of those 317 invoices, Seafrigo analyzed them and identified one billing error of \$3,650. Seafrigo is not seeking payment of that amount from Bakerly. *Id.*

Bakerly's Failure to Pay Invoices

149. On January 15, 2021, Seafrigo sent a report showing all the monies it had paid out-of-pocket on Bakerly's behalf. Seafrigo provided by FedEx. a pouch of documents with invoices, supplemental backup and receipts of what SF paid. Exhibit 49.
150. On February 28, 2021, Bakerly posed questions regarding detention and demurrage invoices it had received. Exhibit 50

151. Just two days later, on March 2, 2021, Seafrigo sent additional backup for the invoices Bakerly had questioned. Exhibit 50. Seafrigo additionally provided by FedEx additional new invoices and backup. Bakerly thanked Seafrigo for the customized report. *Id.*
152. From that February communication until Bakerly unilaterally terminated its warehouse relationship in early 2022, Seafrigo advanced significant additional sums in detention and demurrage fees on Bakerly's behalf. See Invoices, attached as Exhibit 1.
153. In May 2021, Seafrigo sent a significant number of invoices and backup documentation to Bakerly via FedEx. Raffa Dec. at 92.
154. On July 22, 2021, Seafrigo explained it was running out of credit and dangerously close to being unable to move Bakerly containers out of the ports of New York and New Jersey. Exhibit 51.
155. On August 19, 2021, Seafrigo issued a credit of \$30,000 to Bakerly, based upon Bakerly's payment for a fraction of the outstanding demurrage and per diem Seafrigo had already paid out of pocket. Exhibit 52.
156. In response, Bakerly Vice President Charles Lefort said he would notify the Bakerly team to start approving pending demurrage and per diem invoices to clear out the backlog of charges Bakerly owed Seafrigo (which invoices now contends it was never obligated to pay). Exhibit 52.
157. On October 5, 2021, Bakerly wrote to Seafrigo telling it to send a Delivery Order and to pay demurrage being assessed. Exhibit 53.
158. On December 23, 2021, Seafrigo wrote to Bakerly informing it that, given the accumulation of unpaid invoices, Seafrigo would no longer pay demurrage on Bakerly's

behalf until Bakerly satisfied its payment obligations. Exhibit 54. Seafrigo explained that Bakerly could use PayCargo to pay demurrage charges. *Id.*

159. On Christmas Eve, the CEO of Bakerly spoke with Seafrigo's CEO, Jérôme Lorrain, during which Bakerly pleaded with Seafrigo to continue to pay to move its containers. Lorrain Dec. at 8.
160. Bakerly at all times knew that Seafrigo was paying detention and demurrage charges on Bakerly's behalf. Raffa Dec. at 93.
161. Following that discussion Bakerly wrote to Seafrigo stating that there would be no change in the way the parties had been doing business, with Seafrigo paying demurrage and detention charges on Bakerly's behalf. Exhibit 54.
162. At that time, or at any time previously, Bakerly could have assumed responsibility for delivering the cargo at issue to its warehouses and start paying detention and demurrage charges directly to MTOs and VOCCs. Lorrain Dec. at 12; Raffa Dec. at 94.
163. Bakerly intentionally chose not to do so resulting in Seafrigo continuing to advance funds on Bakerly's behalf. Lorrain Dec. at 13; Raffa Dec. at 95.

Efforts to Have VOCCs Waive Detention and Demurrage Charges

164. On January 15, 2021, Seafrigo informed Bakerly that it was in the process of negotiating with various carriers to try and obtain some relief from detention and demurrage charges. Exhibit 55.
165. Jérôme Lorrain and Al Raffa separately met with the two primary VOCCs for Bakerly, CMA and -, and sought to have them waive detention and demurrage charges. Raffa Dec. at 100; Lorrain Dec. at 14.
166. Because those terminals had significant leverage in an extremely tight market, they flatly refused to waive such charges. Exhibit 56. Al Raffa Dec. at 101; Lorrain Dec. at 15.

167. Seafrigo kept Bakerly informed of its efforts in this regard. Al Raffa Dec. at 102; Lorrain Dec. at 16.
168. On October 6, 2021, Seafrigo wrote that it was calling CMA regarding release of containers but acknowledged not being successful. Exhibit 57.
169. On February 9, 2022, demurrage was assessed by a terminal. Seafrigo objected to the charges on the grounds that the driver checked in before the cut-off time but could not get a ticket for the release of the container due to technical issues at the terminal. Raffa Dec. at 103. Although Seafrigo challenged the assessment of the demurrage charges, the charges were not waived. *Id.*
170. Seafrigo was under no obligation to negotiate with VOCCs and MTOs to have them reduce charges, let alone to bring legal action against them on behalf of Bakerly. Raffa Dec. at 104; Lorrain Dec. at 17; Exhibit 56.
171. On January 6, 2021, Bakerly said it was determining whether it could use its own PayCargo account (as opposed to Seafrigo paying using its own PayCargo account) to pay certain demurrage charges. Exhibit 55.
172. In follow-up communication Seafrigo attached a report showing all monies Seafrigo had paid out-of-pocket. Seafrigo also informed Bakerly that it was preparing a pouch with all invoices and supplemental backup receipts of what it had paid. Exhibit 55.
173. On October 5, 2021, Bakerly explicitly agreed to pay demurrage charges, instructing Seafrigo to advance demurrage. Exhibit 58.
174. Bakerly's interpretation of the contracts as requiring Seafrigo to assume responsibility for payment of detent and demurrage charges is contrary to the parties well-established course

of conduct, as well as the course of dealing in the maritime industry at large. Raffa Dec. at 105.

175. If, as Bakerly now contends, it had no obligation to reimburse Seafrigo for the millions of dollars Seafrigo was advancing on its behalf, Seafrigo would not have continued to do so. Raffa Dec. at 106.
176. On April 14, 2022, Seafrigo sent to Bakerly the latest aging report, listing detention and demurrage fees from May 2021 to date. Exhibit 59.
177. On December 5, 2022, during the course of this proceeding, Bakerly acknowledged by e-mail that it was not disputing charges attributable to the snowstorm, on which statement it has since reneged. Exhibit 45

Pass Throughs

178. The vast amount of the charges in dispute are demurrage and detention charges assessed by VOCCs and MTOs which for most of the time period at issue were straight pass-through charges assessed without mark up. Raffa Dec. at 107.
179. Seafrigo only began assessing administrative costs associated with the invoices in dispute in late 2021 when the amount of money it had paid to third parties such as marine terminals had accumulated to such excessive amounts that it unnecessarily impacted Seafrigo's cash flow. Raffa Dec. at 108.
180. MTOs always required payment of demurrage charges in order to obtain the release of Bakerly containers. Raffa Dec. at 109.
181. MTOs were also permitted to assess additional charges such as credit card processing fees. For example, Maher Terminal charged an additional 3.99% for payments made by credit card. Raffa Dec. at 110.

182. If Seafrigo failed to pay such charges, the containers would remain at the terminal and demurrage charges would continue to accrue. Raffa Dec. at 111.
183. Seafrigo invoiced Bakerly such charges on a regular basis. Raffa Dec. at 112.
184. Bakerly timely paid some of the demurrage, detention and other ancillary charges assessed by Seafrigo. Raffa Dec. at 113.
185. In other instances, Bakerly disputed the invoices, incorrectly asserting that more backup information was required. Raffa Dec. at 114.
186. During the time period in question, MTOs and VOCCS were under no obligation to provide detailed invoices related to detention and demurrage charges being assessed. Raffa Dec. at 115.
187. Throughout the time period at issue Bakerly was fully aware that Seafrigo was going out of its own pocket to pay steamship lines and terminals for assessed detention and demurrage charges in order to allow Bakerly's containers to be released. Raffa Dec. at 116. Seafrigo has been doing so since the beginning of the parties' contractual relationship, dating back to 2015 (although such charges were not significant until late in 2020). *Id.*
188. Bakerly at no time instructed Seafrigo that it should not advance detention and demurrage charges on its behalf. Raffa Dec. at 117.
189. Prior to initiating this litigation Bakerly never asserted that it had no contractual obligation to pay detention and demurrage associated with the cargo. Raffa Dec. 118.
190. If Seafrigo had been informed that Bakerly thought that Seafrigo was assuming the obligation to pay detention, demurrage, per diem, and other ancillary charges, it would have refused to make the millions of dollars in advances it made on behalf of Bakerly. Raffa Dec. at 119.

191. Seafrigo was entitled to terminate its services to Bakerly at any time pursuant to both the NRAs under which the cargo moved and the applicable bills of lading. Raffa Dec. at 120. Seafrigo also at its sole discretion could refuse to make advances on Bakerly's behalf. Seafrigo did so as an accommodation to Bakerly. *Id.*
192. The margins for the transportation services provided by NVOCCs are so narrow that it would be economically unfeasible for an NVOCC to assume the obligation to pay detention, demurrage, per diem, and other ancillary charges rather than having such charges be the responsibility of the shipper and/or consignee. Raffa Dec. at 121.
193. In Al Raffa's over thirty years of experience, it uniformly has been the obligation of the shipper and/or or consignee to pay for detention and demurrage charges, as opposed to the NVOCC, unless such charges are a result of the NVOCC's failure to perform. Raffa Dec. at 122.
194. For an extended period, Bakerly was on notice of the charges that were accruing due to its dysfunctional warehousing operations but failed to correct the problem. Raffa Dec. at 123.

Overview of Reasons for Detention and Demurrage Charges at Issue

195. Seafrigo carefully analyzed all information in its possession to determine the reasons for the detention and demurrage charges in dispute. Raffa Dec. at 124. In some instances, those reasons might overlap. *Id.* For example, both port congestion and equipment shortages might simultaneously contribute to the charges accruing. *Id.* Seafrigo made a good faith effort in those instances to instances to identify the primary cause. *Id.*
196. As reflected above, Seafrigo prepared two spreadsheets reflecting the causes of the demurrage and detention assessed at issue. Raffa Dec. at 125; Exh. 7A, 8A. They are referred to as Pivot 1 and 2. *Id.*

197. In Pivot 2 certain detention and demurrage charges which had been identified as cause unknown were allocated to Port Congestion. Raffa Dec. at 128. Upon further careful analysis Seafrigo has placed all of those remaining charges in the Port Congestion category. Raffa Dec. at 128.
198. While that category requires more analysis than the Bakerly column, which is easy to attribute a given the extensive email correspondence between the parties and Bakerly's express acknowledgment of its warehouses many shortcomings, a review of the facts confirms that the charges are in no way attributable to Seafrigo and instead are the result of the nationwide congestion plaguing the industry in late 2020 through early 2022. Raffa Dec. at 129.
199. Accordingly, Seafrigo is entitled to recover \$472,672.71 now in the Port Congestion category. Raffa Dec. at 130.

Respectfully submitted,



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May 31, 2023

CERTIFICATE OF SERVICE

I do hereby certify that I have delivered a true and correct copy of the foregoing document to the parties to this proceeding by depositing same in the United States mail, first class postage prepaid, and/or via email transmission, this 31st day of May, 2023.

A handwritten signature in blue ink, appearing to read "Brendan Collins", is written over a horizontal line.

Brendan Collins